

Tentative Rulings
June 15, 2026
Department S-17
Judge Joseph Ortiz

Tentative Rulings for Department S-17 are posted on the court's website (<https://www.sb-court.org/divisions/civil/civil-tentative-rulings>) at 3:00 p.m. or at 7:00 p.m. the court day before the hearing. If no tentative ruling is posted at 3:00 p.m., please check again after 7:00 p.m.

Unless you wish to submit on the tentative ruling, you must appear for the hearing either in person, CourtCall (888-882-6878 or www.courtcall.com), or by ZOOM. Failure to appear is deemed a waiver of oral argument. If you wish to submit to the tentative, please call the Judicial Assistant at (909) 708-8715 in advance of the hearing. If all parties submit on a tentative ruling, the tentative ruling will become final. The tentative ruling may seek input on particular issues and direct appearance. If so directed, attendance at the hearing is mandatory. The party prevailing on a motion or other hearing shall serve written notice of the court's ruling unless all parties waive notice of the ruling.

ATTENTION: As of January 9, 2023, the court no longer provides an official Court Reporter to transcribe proceedings. Parties who wish to have a transcript must retain their own private reporter and must submit a "Stipulation and Order to Use Certified Shorthand Reporter." Please contact the Department if you need this form. Parties who do not retain their own reporter have waived the right to one.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.

14. *Ayon, et al, v. Soligent Distribution, LLC, et al*, Case No. CIVSB2400611
Plaintiff's Motion for Preliminary Approval of Class Action Settlement
6/15/26, 1:30 p.m., Dept. S-17

Tentative Ruling

The Court would **GRANT** the motion.

Preliminary Approval of Class Action Settlements in General

Settlement of a class action requires court approval. (Cal. Rules of Court, rule 3.769.) The moving party must demonstrate that "the settlement is fair, adequate and reasonable." (*Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 126; *Reed v. United Teachers Los Angeles* (2012) 208 Cal.App.4th 322, 337.) The court has "broad discretion in making this determination." (*In re Microsoft I-V Cases* (2006) 135 Cal.App.4th 706, 723.) Relevant factors the court may consider include "the strength of the plaintiffs' case, the risk, the expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement." (*Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801.) This list of factors "is not exhaustive and should be tailored to each case." (*Ibid.*) The court may "engage in balancing and weighing of factors depending on the circumstances of each case." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 245, overruled on other grounds in *Hernandez v. Restoration Hardware* (2018) 4 Cal.5th 260, 269.)

"Although the court gives regard to what is otherwise a private consensual agreement between the parties, the court must also evaluate the proposed settlement agreement with the purpose of protecting the rights of the absent class members who will be bound by the settlement." (*Wershba, supra*, 91 Cal.App.4th at p.245 [quoting *Dunk, supra*, 48 Cal.App.4th at p. 1801].) "The court must therefore scrutinize the proposed settlement agreement to the extent necessary to "reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.* [quoting *Officers for Justice v. Civil Service Com'n* (9th Cir. 1982) 688 F.2d 615, 625].)

Nevertheless, the settlement is entitled to a "presumption of fairness . . . where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Kullar, supra*, 168 Cal.App.4th at p. 128 [quoting *Dunk, supra*, 48 Cal.App.4th at p. 1802].)

Provisional Class Certification at Preliminary Approval

Although a lesser standard can be used to provisionally certify a settlement class, the court still needs to review and consider each element for certification. (*Global Minerals & Metals Corp. v. Superior Court* (2003) 113 Cal.App.4th 836, 859.) But, as settlement eliminates the need for trial, “the case management issues inherent in ascertainable class determination need not be confronted.” (*Ibid.*)

A class should be certified when “the question is one of a common or general interest, of many persons, or when parties are numerous and it is impracticable to bring them all before court.” (Code Civ. Proc., § 382.) There must be both an ascertainable class and a well-defined community of interest, which includes predominate questions of law or fact, class representatives with claims typical of the class, and class representatives who can adequately represent the class. (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.)

Settlement Notice

“If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (Rules of Court, rule 3.769(f); *Wershba v. Apple Computer, Inc.*, *supra*, 91 Cal.App.4th at p. 251.)

“The purpose of the class notice in the context of a settlement is to give class members sufficient information to decide whether they should accept the benefits offered, opt out and pursue their own remedies, or object to the settlement. As a general rule, class notice must strike a balance between thoroughness and the need to avoid unduly complicating the content of the notice and confusing class members. Here, again, the trial court has broad discretion. (*Wershba*, *supra*, 91 Cal.App.4th at p. 252.)

The manner of notice shall be by means reasonably calculated to apprise the class members of the settlement. (Rules of Court, rule 3.766(f).) The standard is “whether the notice has ‘a reasonable chance of reaching a substantial percentage of the class members.’” (*Wershba*, *supra*, 91 Cal.App.4th at p. 251.) The court must consider the interest of the class, type of relief obtained, the state of the individual class members, the costs of notifying the class members, the resources of the parties, the possible prejudice to the class members who do not receive notice, and the *res judicata* effect on the class members. (Rules of Court, rule 3.766(e).)

The Proposed Settlement

This is a putative wage-and-hour class and representative action. Plaintiffs allege that they and other similarly situated individuals are or were non-exempt employees of Defendant and were subject to various wage-and-hour violations. They submitted notice letters to the LWDA in January and August of 2024. (Connolly Decl., Exhs. 1-2.)

Plaintiff Ayon first filed a putative class action on January 24, 2024. On or about March 29, 2024, Plaintiff Ayon filed a First Amended Complaint (FAC) to add a cause for civil penalties pursuant to the Private Attorneys General Act (PAGA). On or about January 10, 2025, Plaintiff Ayon filed the operative Second Amended Complaint (SAC) to add Plaintiff Calderon into this action. The operative SAC alleges violations relating to (1) overtime; (2) meal periods; (3) rest breaks; (4) unpaid minimum wages; (5) final pay; (6) wage timeliness; (7) provision of accurate wage statements; (8) reimbursements; as well as (9) violation of the unfair competition law (UCL) and (10) civil penalties pursuant to PAGA. Importantly, the UCL and PAGA claims are underpinned by the alleged wage-and-hour violations.

After commencing the various suits, the Plaintiffs sought and received extensive discovery, including a substantial sampling of time and payroll records. (Connolly Decl., ¶¶20-21 [20% sampling].) Plaintiff also received policy documents. (*Ibid.*) Thereafter, on November 3, 2025, the parties engaged in an arms-length mediation with Hon. James Otero (Ret.), an experienced neutral. (Connolly Decl., ¶23.) The parties reached settlement pursuant to a mediator's proposal and executed a long-form settlement agreement by May of 2026. (Connolly Decl., Exh. 3.) Notice of the settlement was sent to the LWDA on May 21, 2026. (Connolly Decl., Exh. 4 [Email to LWDA].)

The class size is currently estimated at 60 with approximately 35 PAGA aggrieved employees. (Connolly Decl., ¶30.) For purposes of settlement, the class period will reach from January 24, 2020 to February 1, 2026. (Settlement, ¶7.) The PAGA period is from January 4, 2023 to February 1, 2026. (Settlement, ¶21.)

The settlement is proposed on the following terms: Defendants will pay a gross, non-reversionary settlement amount of \$280,000.00,¹ from which will be deducted (1) \$93,333.33 for Class Counsel's attorneys' fees (1/3rd of the total); (2) costs not to exceed \$25,000.00; (3) Plaintiffs' enhancement fees of no more than \$10,000.00 each (or \$20,000 total); (4) claims administration fees of no more than \$4,990.00; and (5) PAGA penalties of \$15,000.00 (of which \$11,250, or 75%, will go to the LWDA and \$3,750, or 25%, will go to the aggrieved employees).

The parties estimate this will leave a wage-and-hour only net settlement amount of a non-reversionary \$121,676.67. This amount would be split by the class of approximately 60 employees in proportionate shares determined by number of workweeks within the Settlement Class Period. The average per class member would be \$2,027.94. Twenty percent (20%) of the payout would be representative of wages, and the remaining eighty percent (80%) would be representative of penalties and interest. (Settlement, ¶46(c).)

Given the 35 PAGA aggrieved employees, the average PAGA payout would be \$107.14.

¹ The Court is cognizant that there is an escalator clause that might impact the overall gross settlement. (Settlement, ¶38.)

The amount of the settlement is appropriate given the strength of the case, especially in light of Counsel's estimated potential liability exposure. (Connolly Decl., ¶¶48-65.) However, the lower actual settlement appears fair and reasonable when calculated to include analysis of the possibility the class would not be certified; various potential defenses; as well as the potential appeal of any judgment should Plaintiffs be successful in this venue.

Given the presumption of fairness, the Court would find the figure sufficient to satisfy the *Kullar* requirement. Further, adequate discovery and investigation has occurred. There is no evidence of fraud or collusion. Class Counsel are well qualified to represent the class. The settlement was reached through an arms-length negotiation with the assistance of an experienced and well-respected mediator. The deductions from the gross settlement fund (attorneys' fees,² costs,³ administration fee, incentive award, PAGA penalties, and taxes) appear to be reasonable and appropriate and are, therefore, *preliminarily* approved in the "not to exceed" amounts in the motion. The proposed notice is, also, adequate.

Counsel and the representative are appointed conditionally to represent the class. The motion is *granted*. The court will schedule a hearing to consider final approval at the closest available date to the date recommended by counsel.

The Court preliminarily approves the settlement and (1) appoints Protection Law Group, LLP, conditionally as Settlement Class Counsel; (2) appoints Ubaldo Ayon and Luis Calderon as Class Representatives; (3) approves Apex Class Action LLC as Settlement Administrator; (5) preliminarily finds the settlement fair, reasonable, and adequate; and (6) approves the form and content of the proposed Class Notice and directs the mailing of the same.

At final approval, counsel must advise the court of any pending cases that will be affected by approval of the settlement. Counsel must provide the *exact* number of class members and workweeks for the class settlement and the *exact* number of PAGA aggrieved employees and pay periods for the PAGA settlement.

² Counsel must provide a full lodestar analysis in the motion for final approval.

³ Costs must be documented. The court does not award costs for LEXIS or Westlaw usage (which are considered items of overhead), faxes (also overhead), or photocopying in excess of \$0.06 per page.